



Olist Pricing Strategy & Voucher Effectiveness

Presented by:

Ayman, Isa, Alfadhul



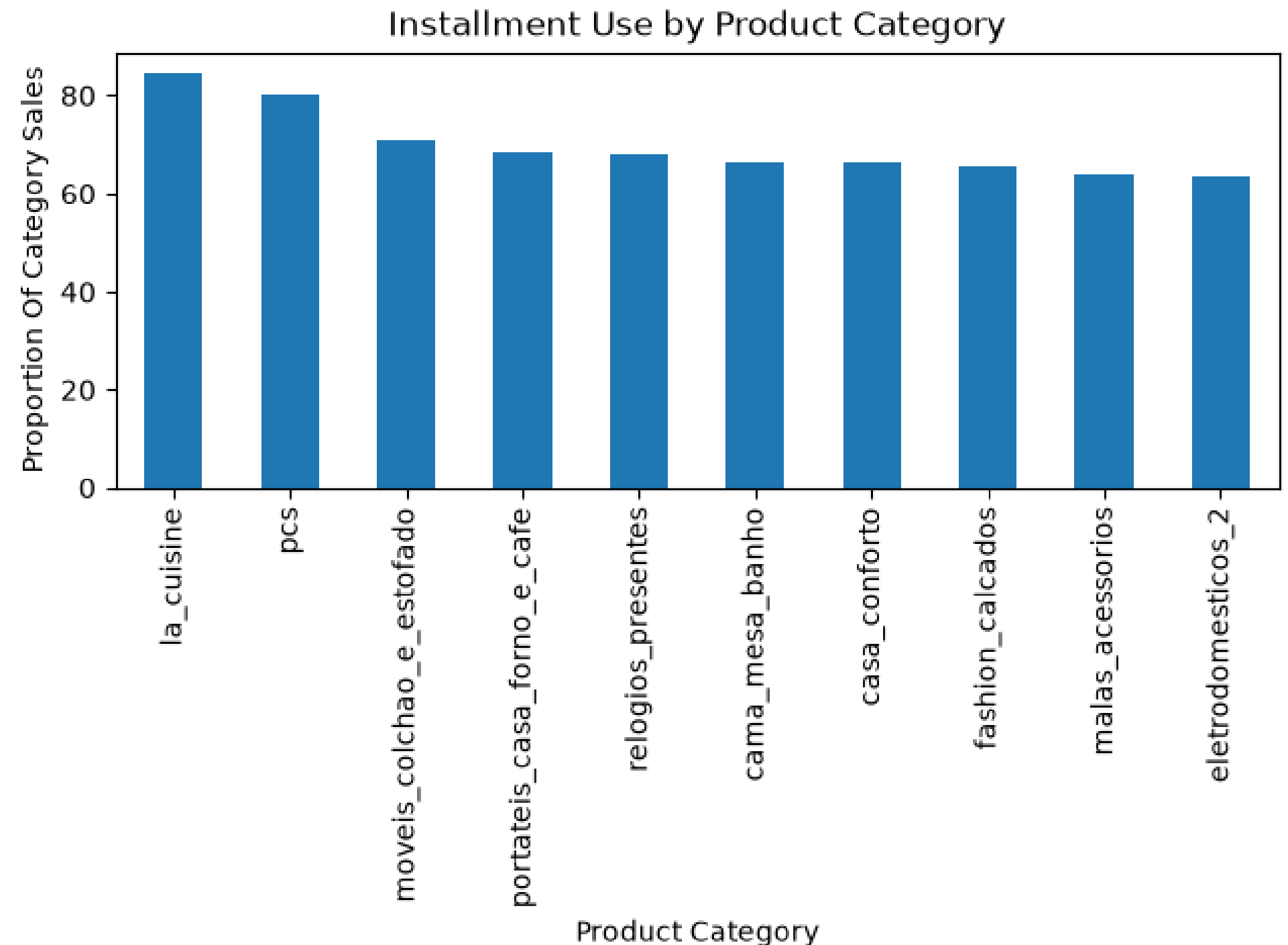
Scenario

- Olist is an e-commerce enablement platform and ecosystem designed to help retailers sell products across multiple online marketplaces and manage their business operations.
- Although the platform provides multiple payment options, customers retention is low.
- They approached us to answer the following question; **Is the pricing team making the right decisions?**



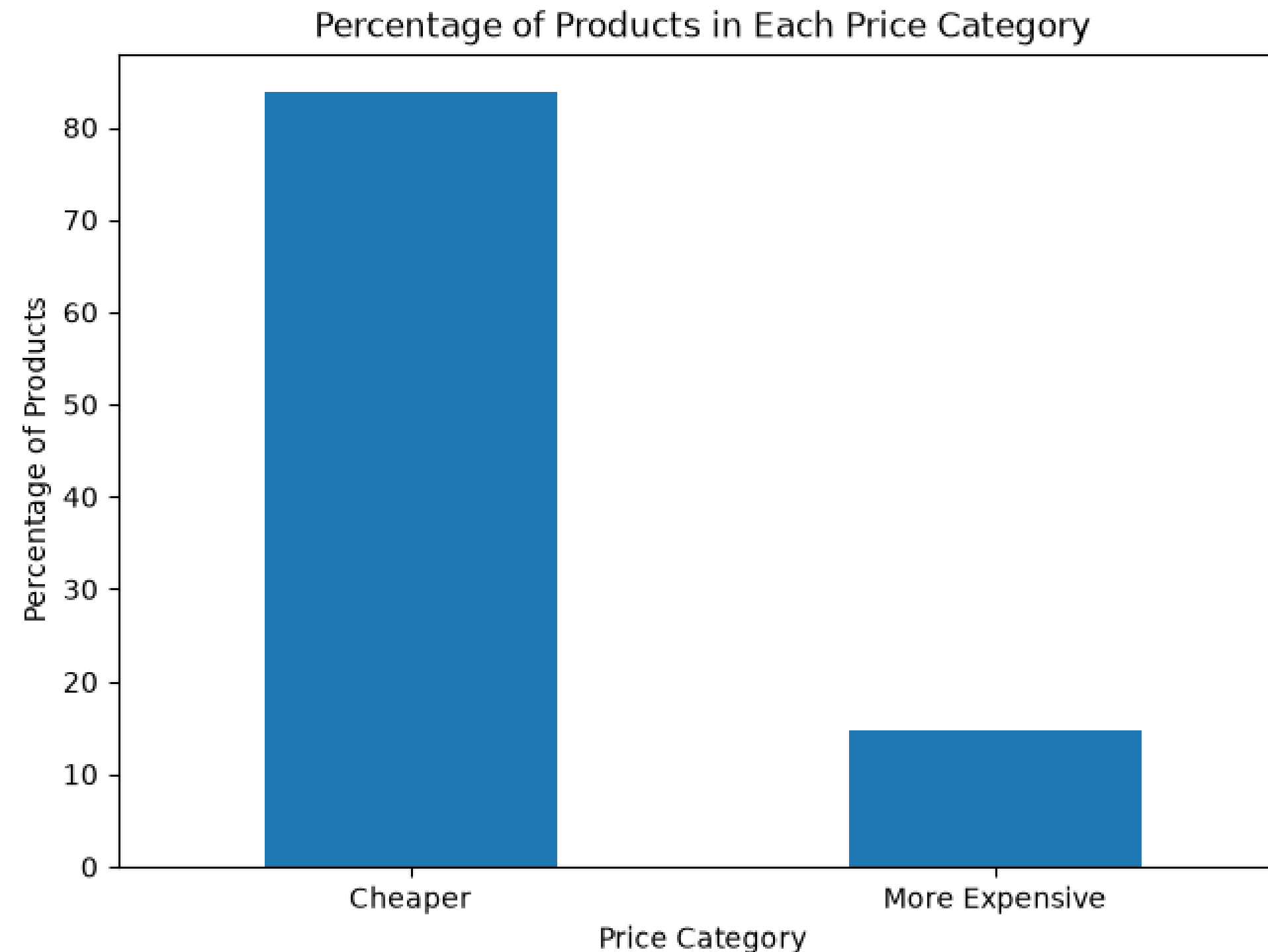
Understanding products and shipping

- Is there a specific category that's very expensive or often bought with installments? **La_cuisine**
- Is the freight value reasonable? **on average freight price is 30.8% of product price, 20.88% of the total price**



* What's the % for cheaper and expensive items?

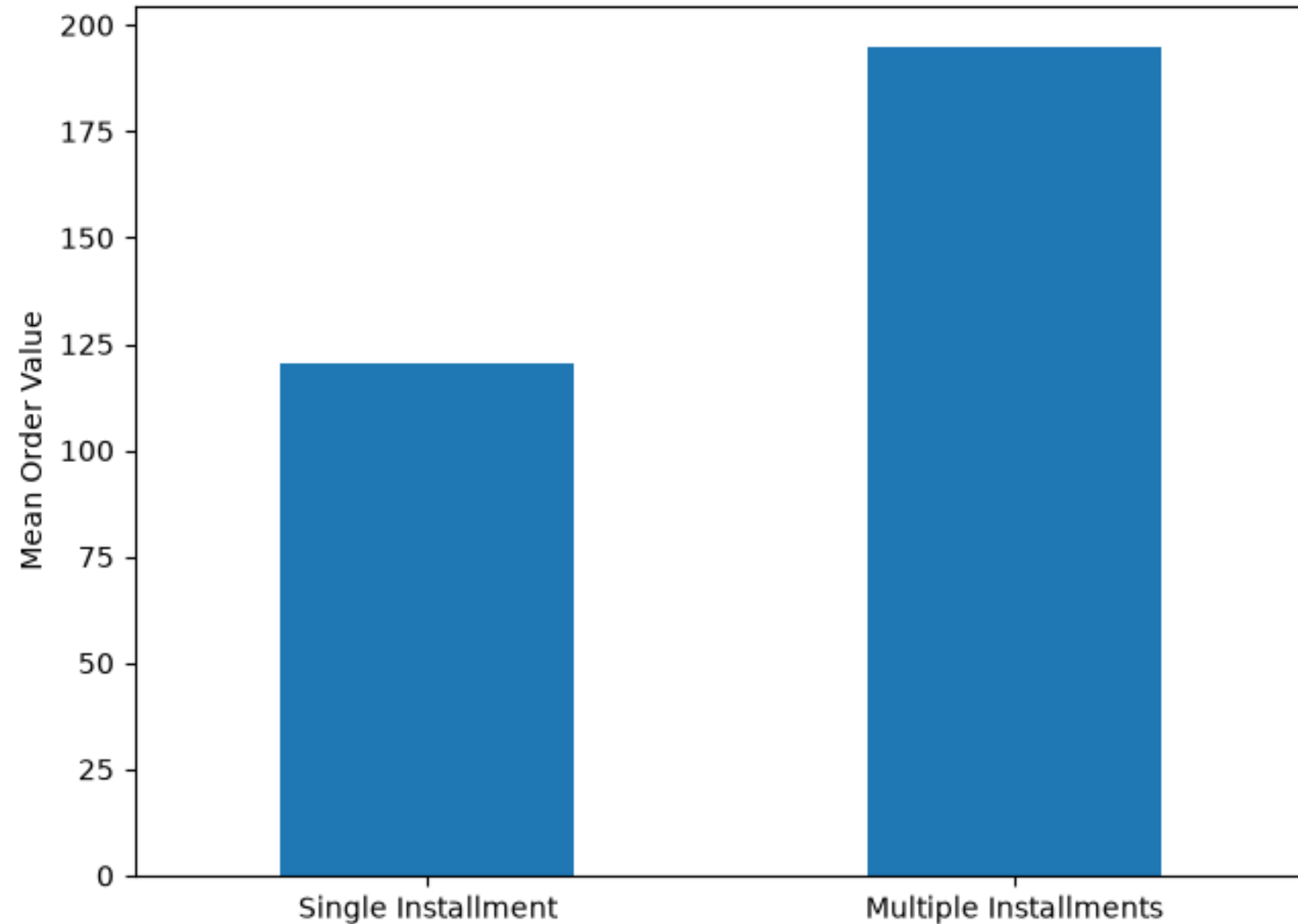
- The categorisation is based on the mean item price



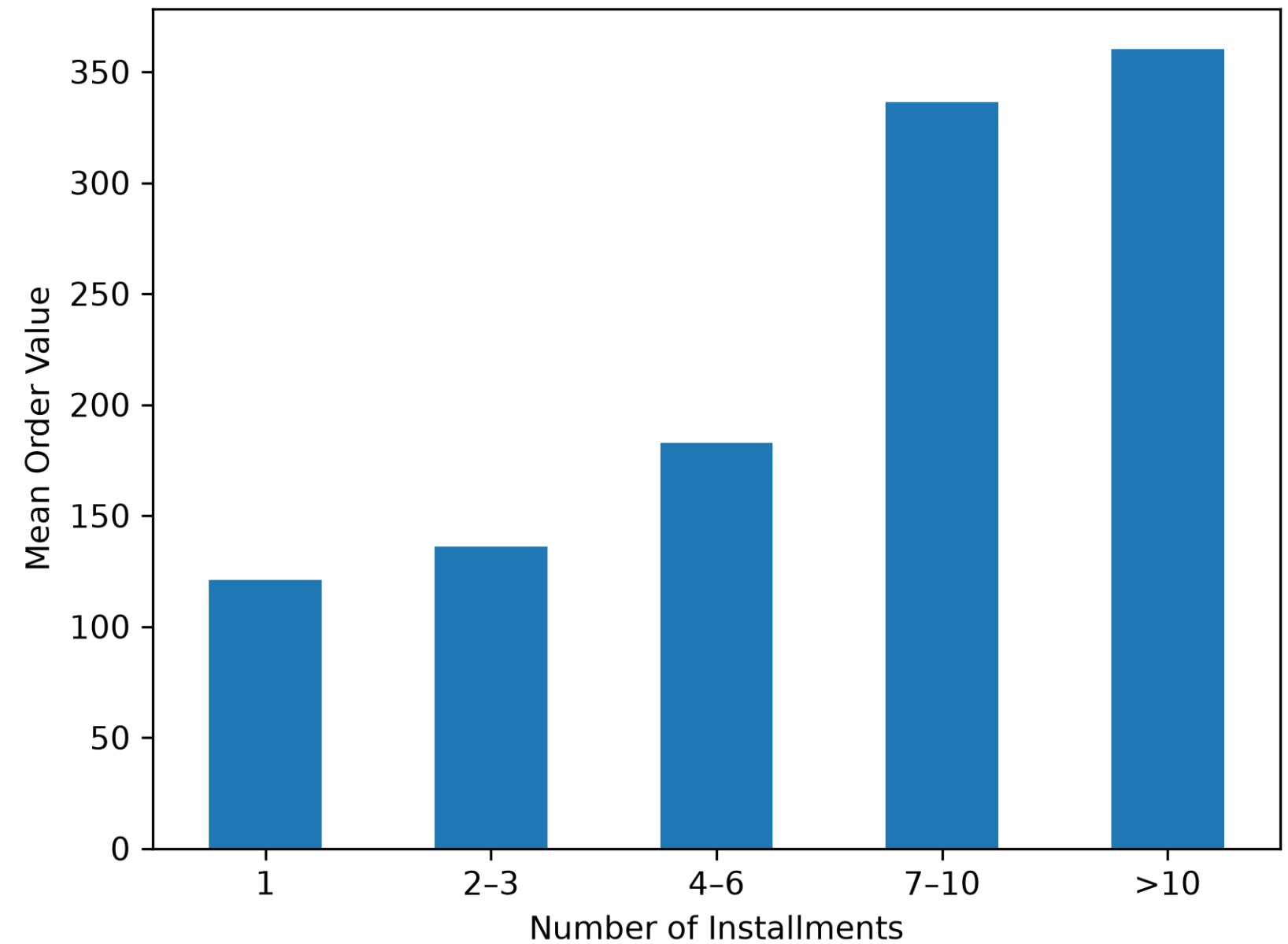


Are installments and vouchers effective?

Mean Order Value: Single vs Multiple Installments



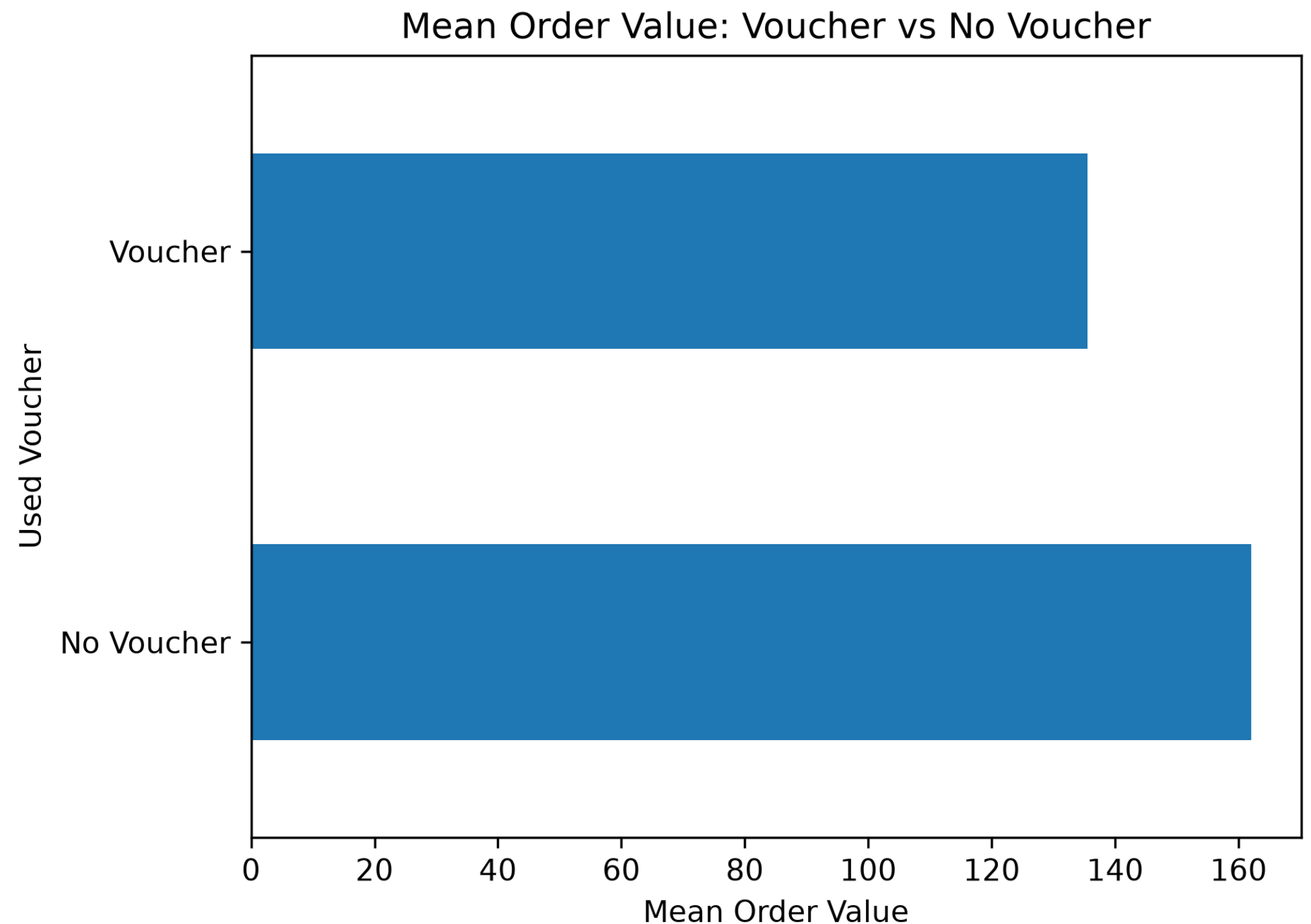
Mean Order Value by Number of Installments





Are installments and vouchers effective?

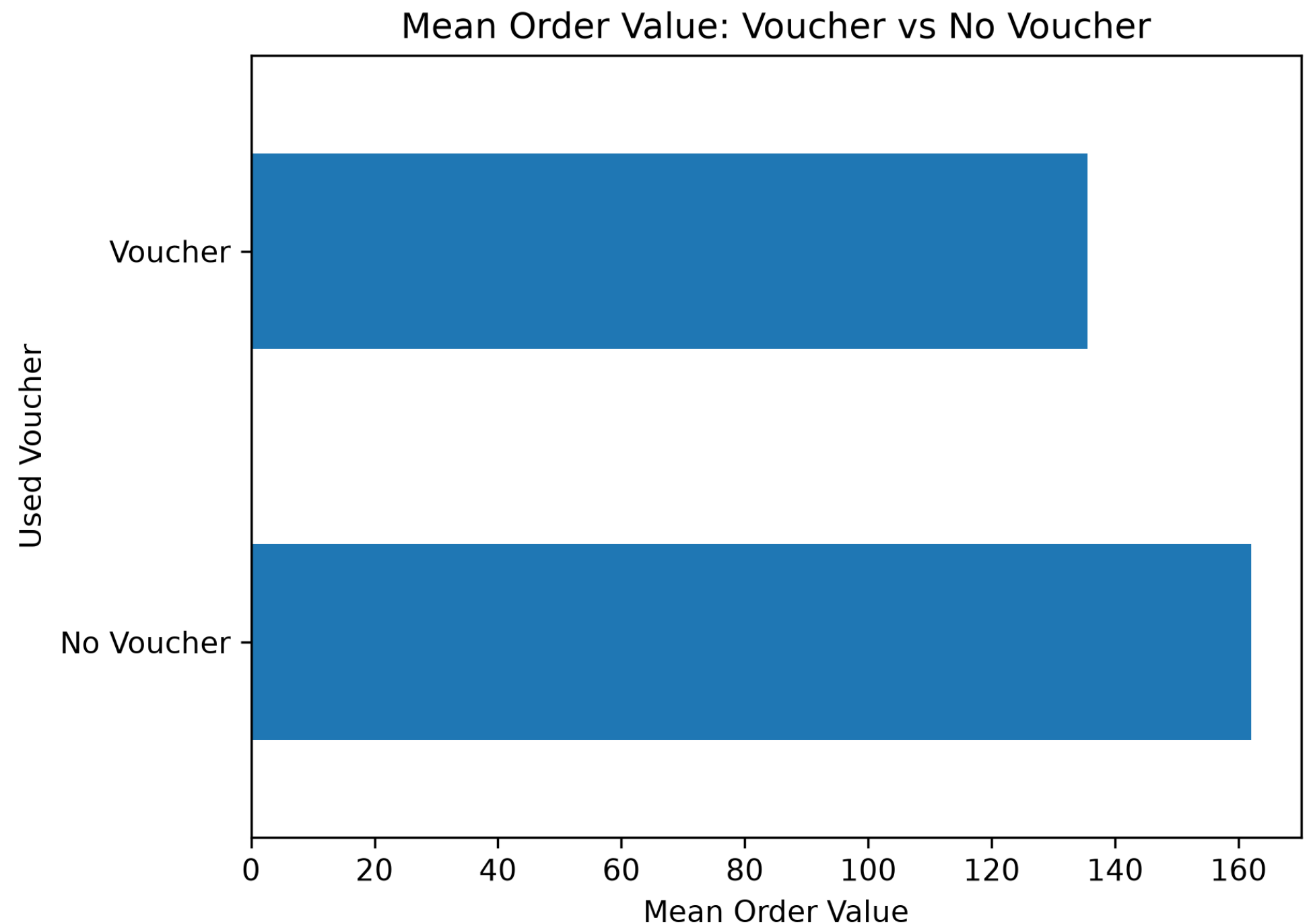
- Installments:
 - **64% higher mean order value,**
70% higher median order value
 - Orders paid using multiple installments had substantially higher order values
- Vouchers :
 - **16.3% lower mean order value,**
16.8% lower median order value





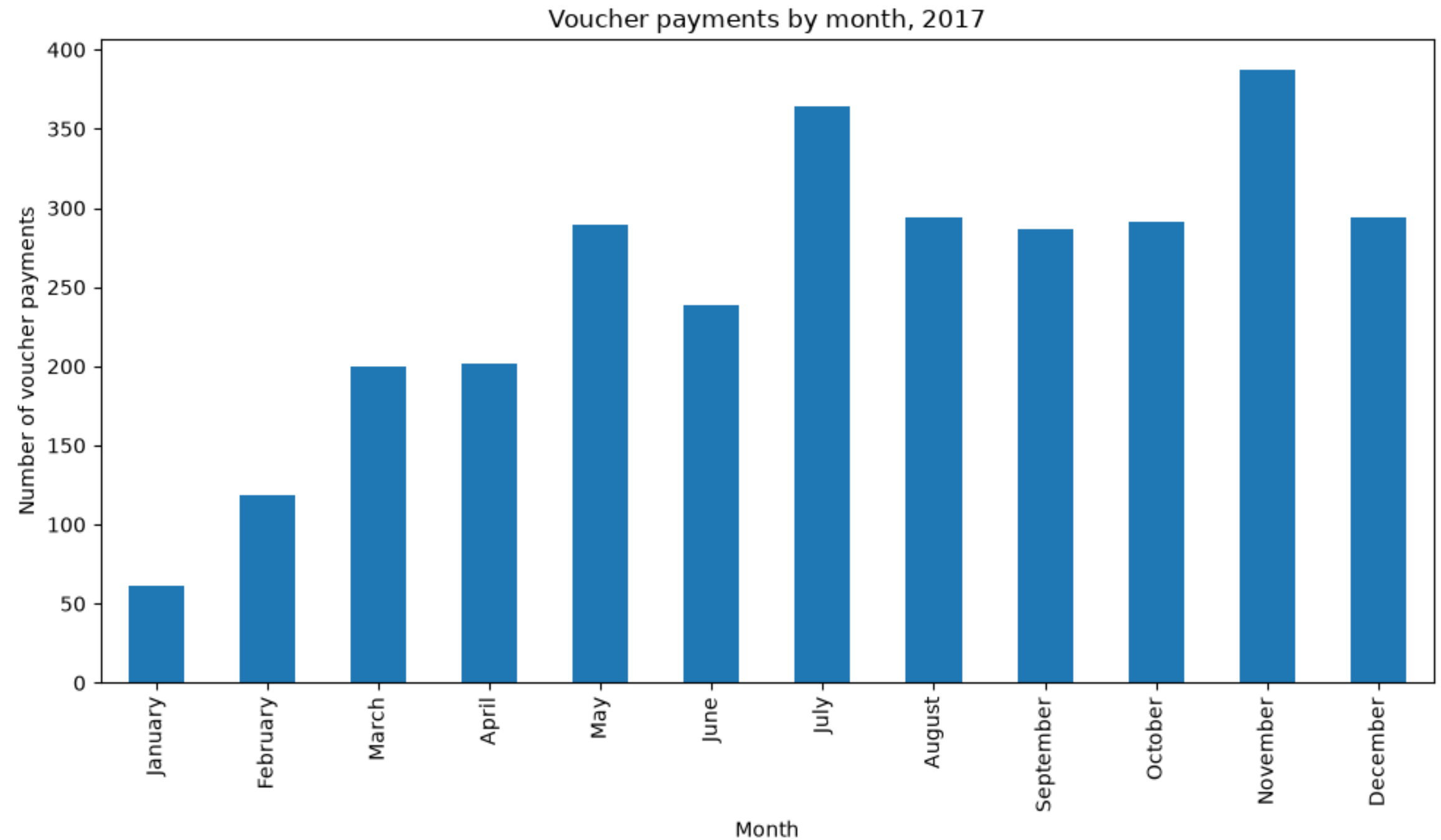
Do vouchers increase sales or harm margins?

- Voucher orders represent only about **3.9% of all orders** and **3.3% of total sales value**
- Voucher use is not associated with higher sales



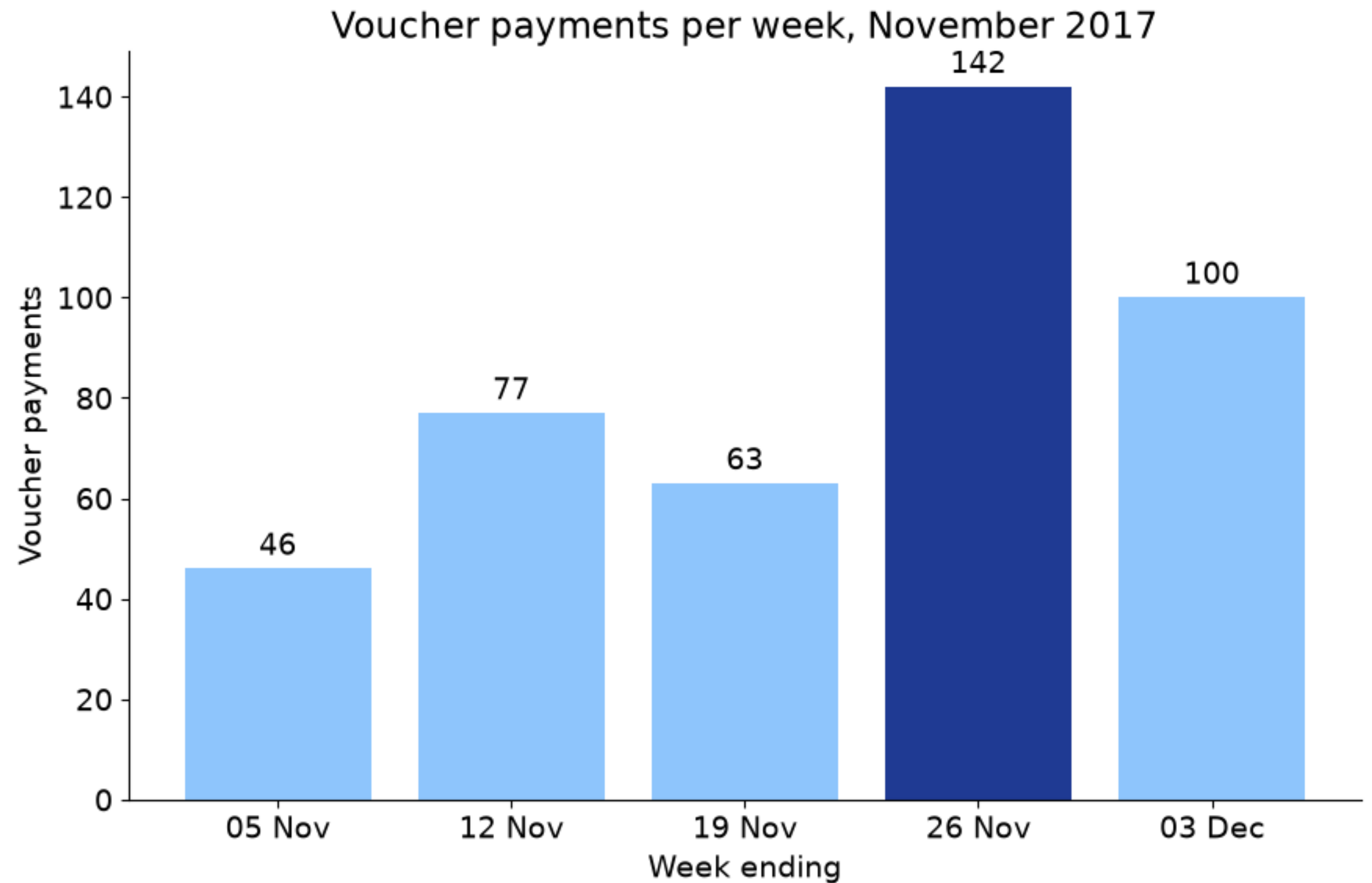


Why is there a voucher peak in August?

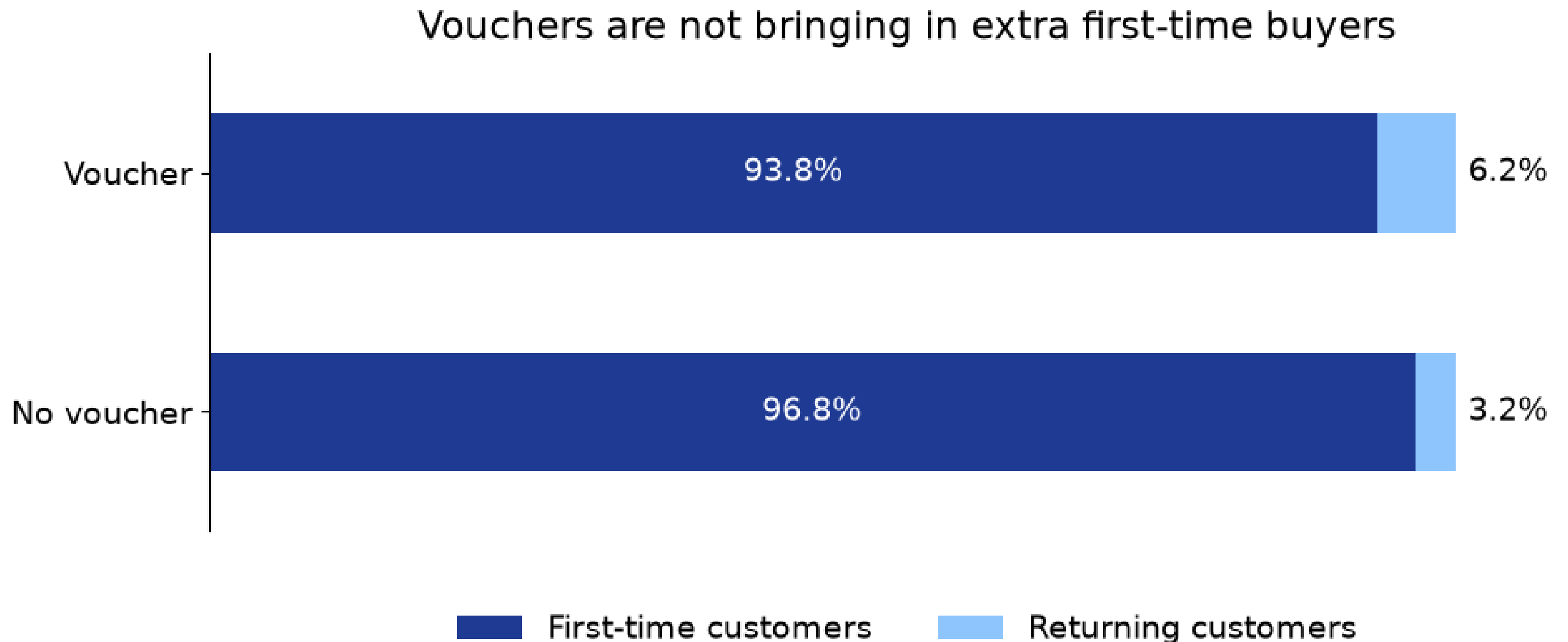




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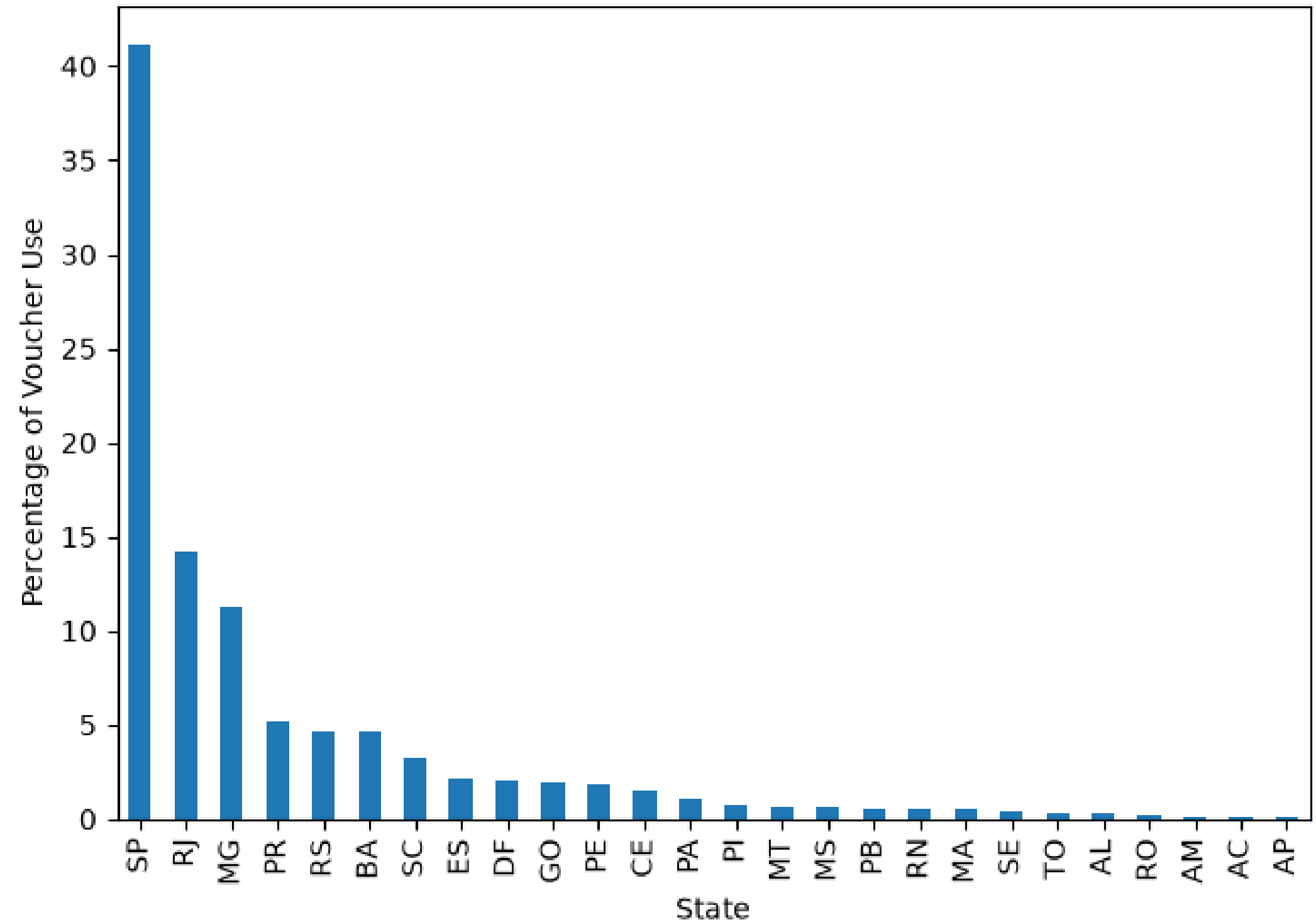
* Are vouchers attracting new first-time buyers?





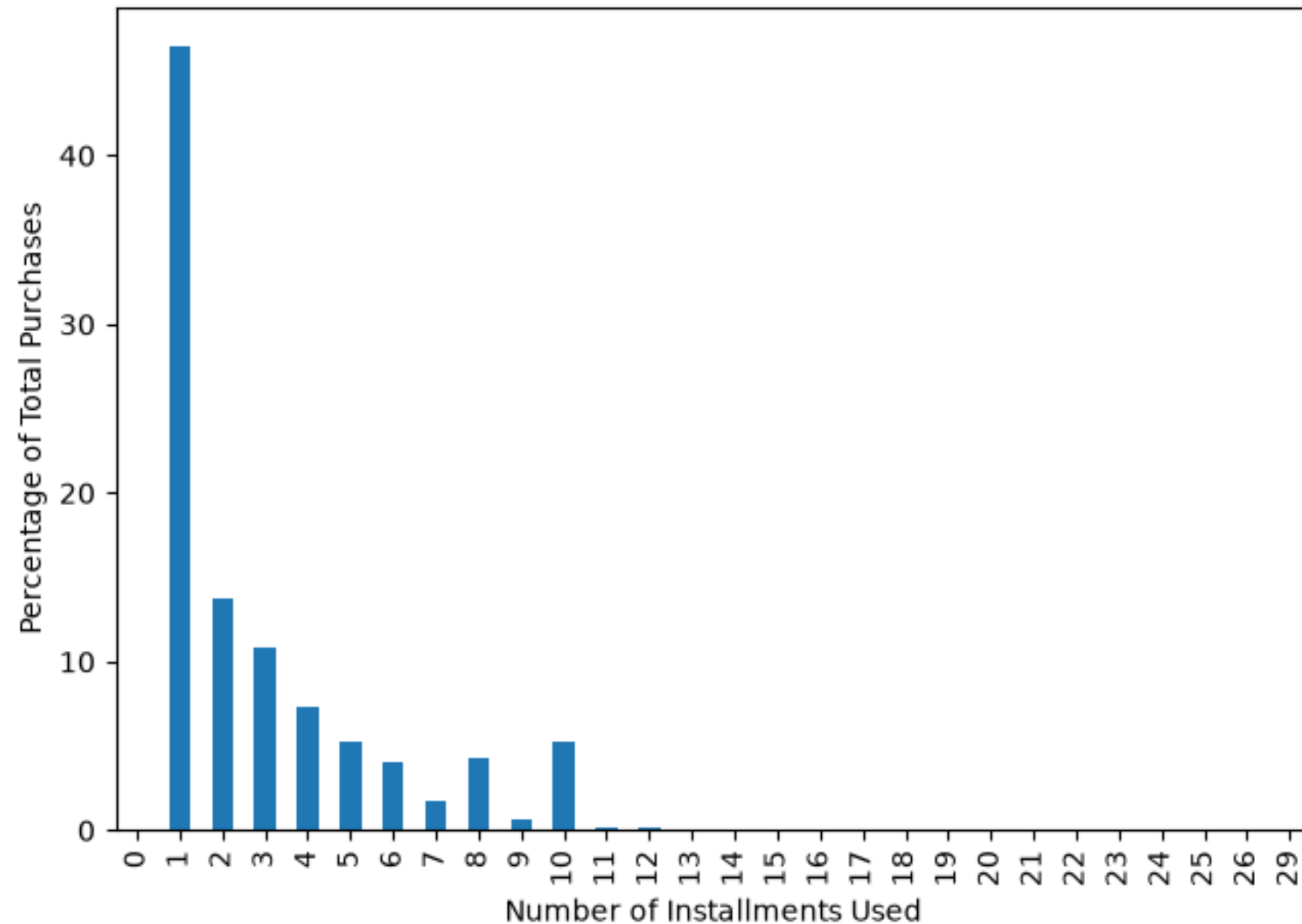
Are vouchers distributed effectively?

Distribution of Vouchers Among States

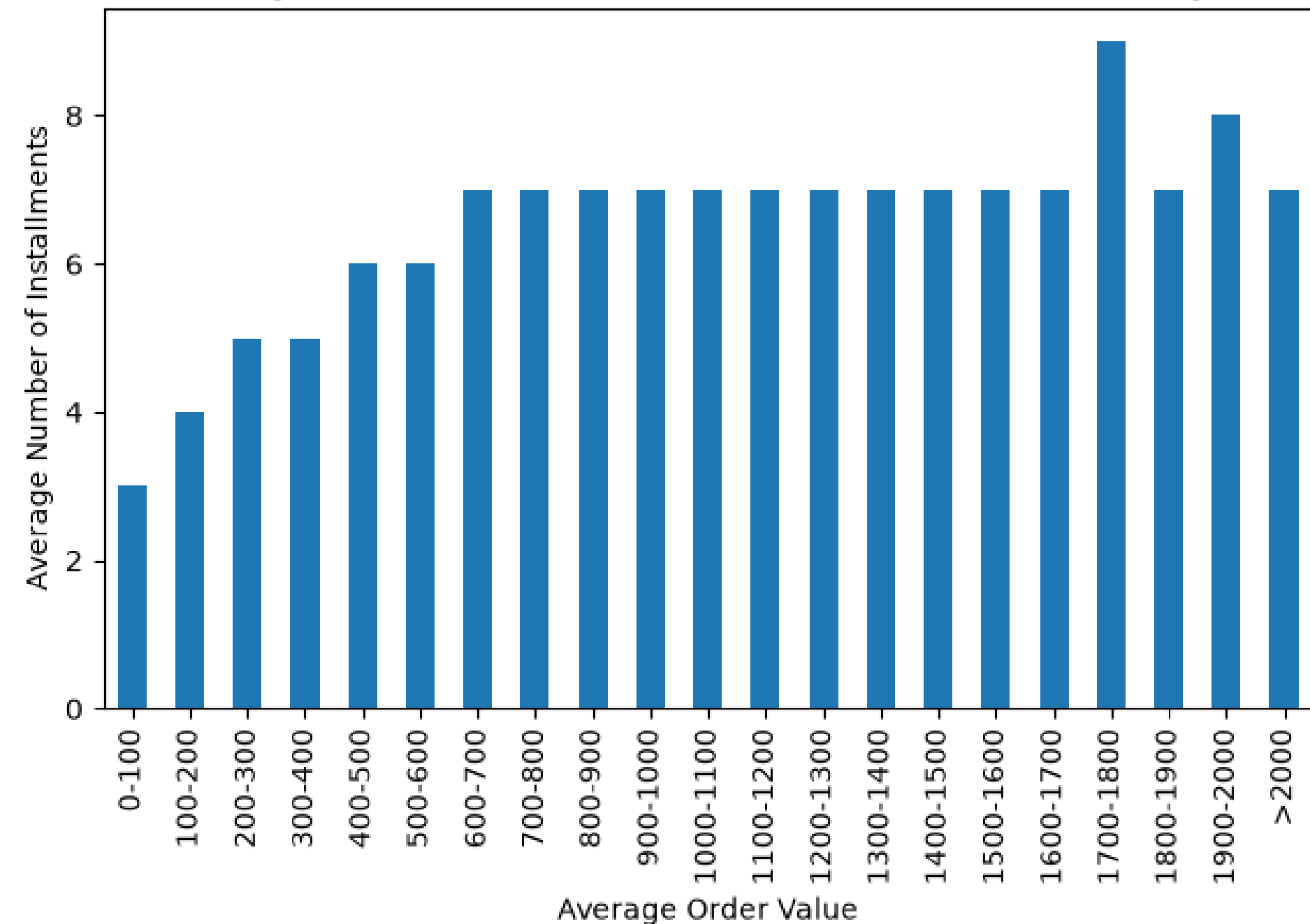


Distribution of installment counts (1x vs. 10x), and does offering higher installments increase AOV?

Installment Count Frequency Across Total Purchases

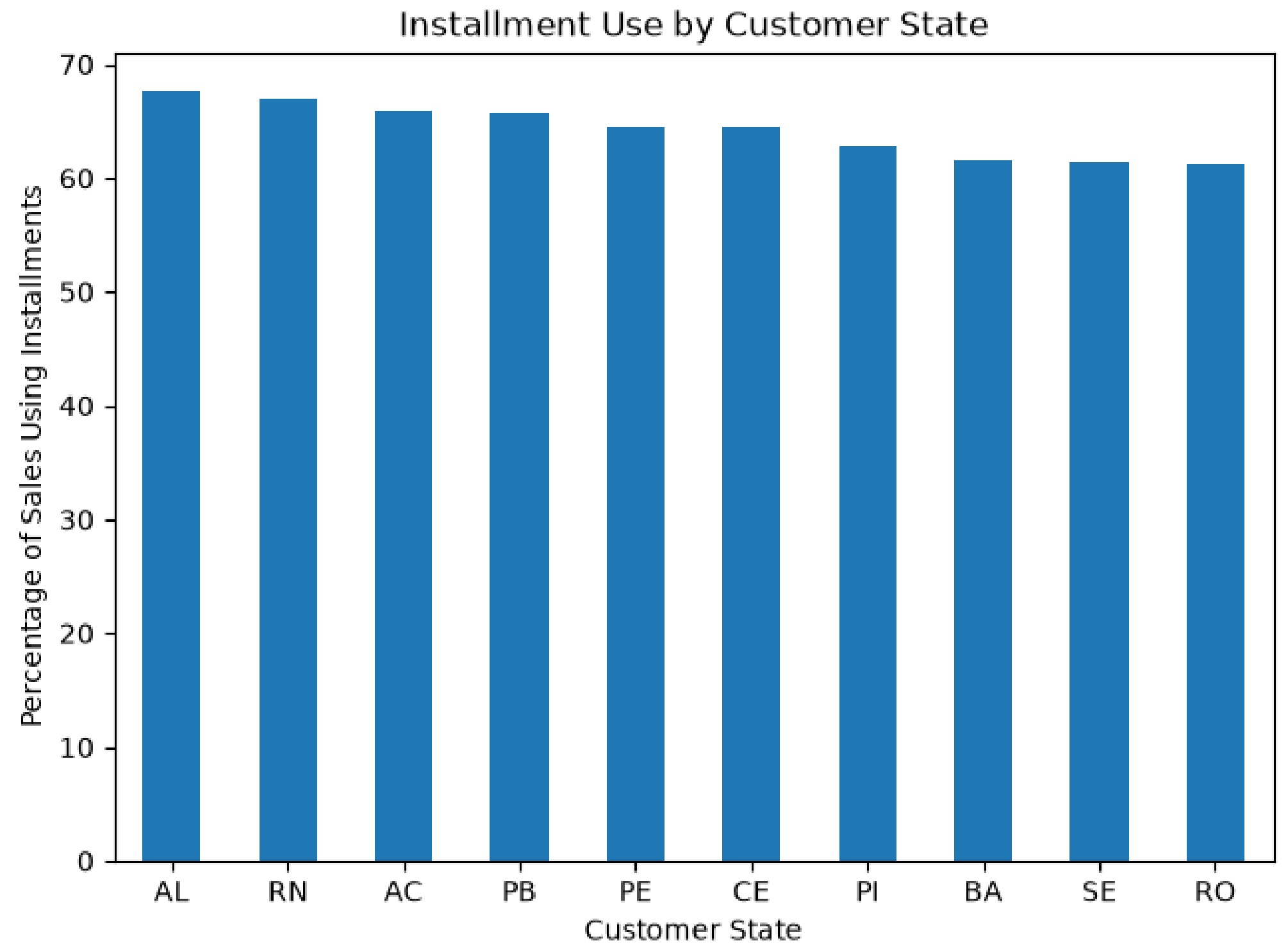


Average Number of Installments Across Different Price Ranges





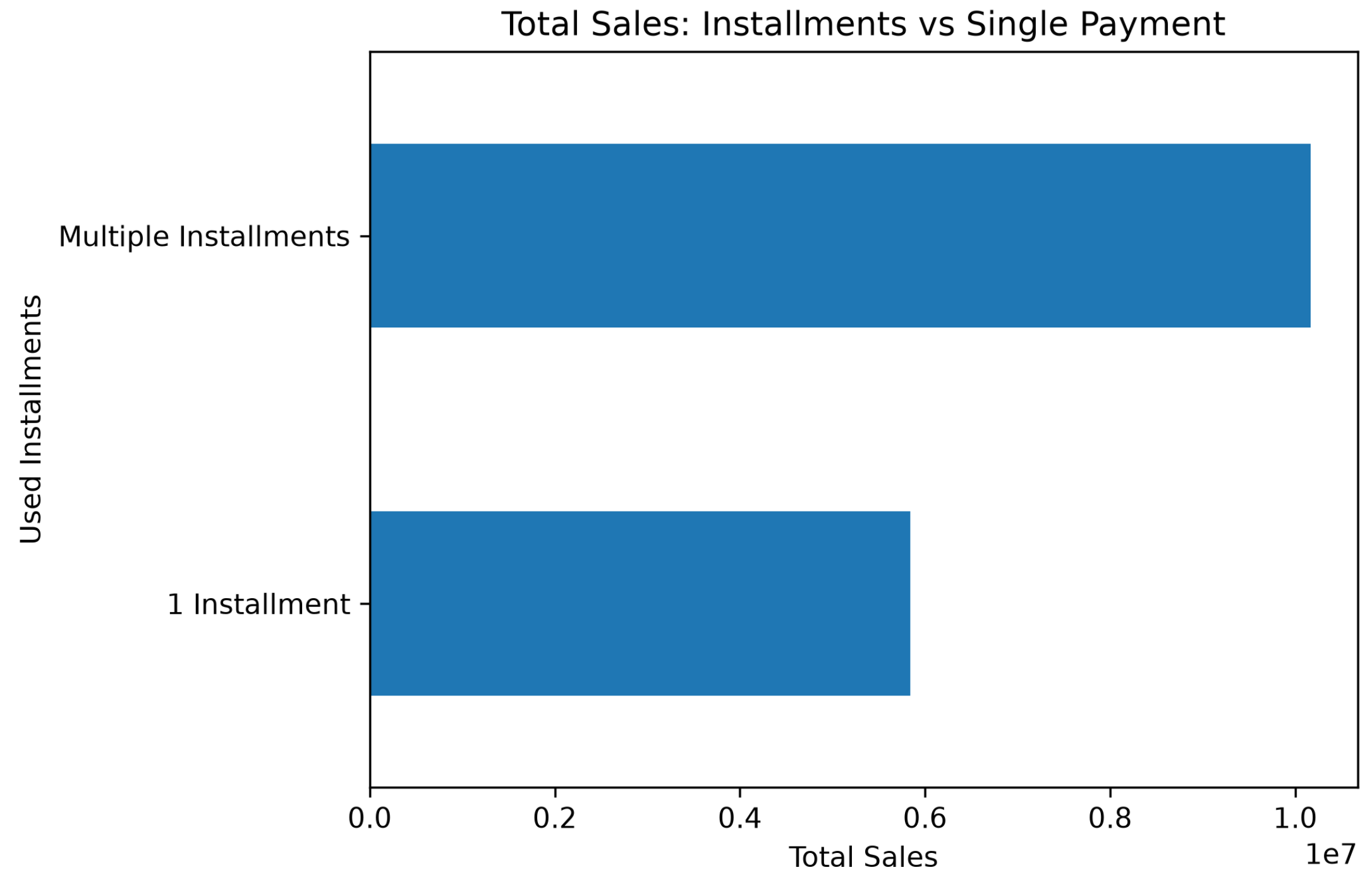
Are installments related to location?



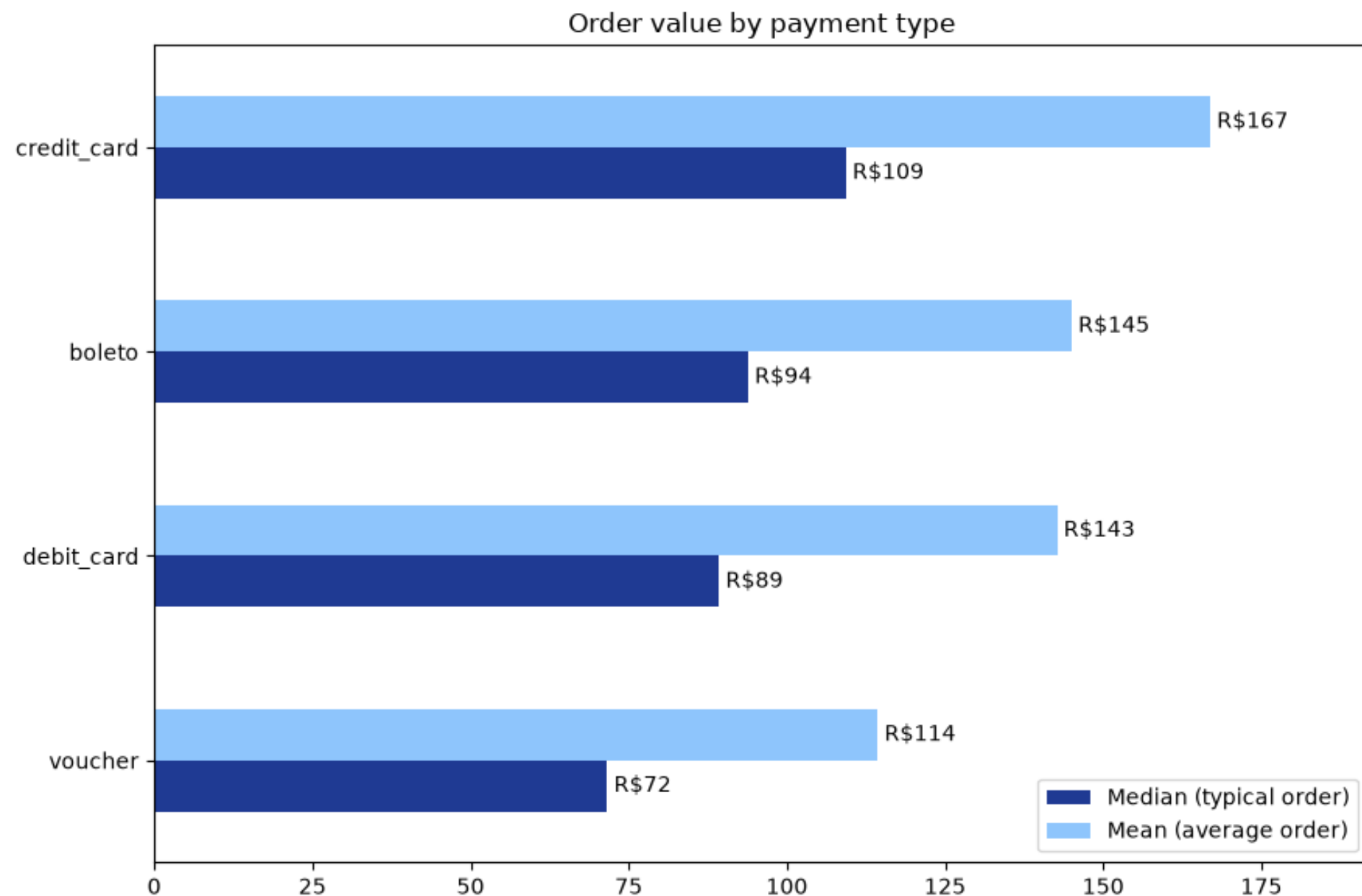
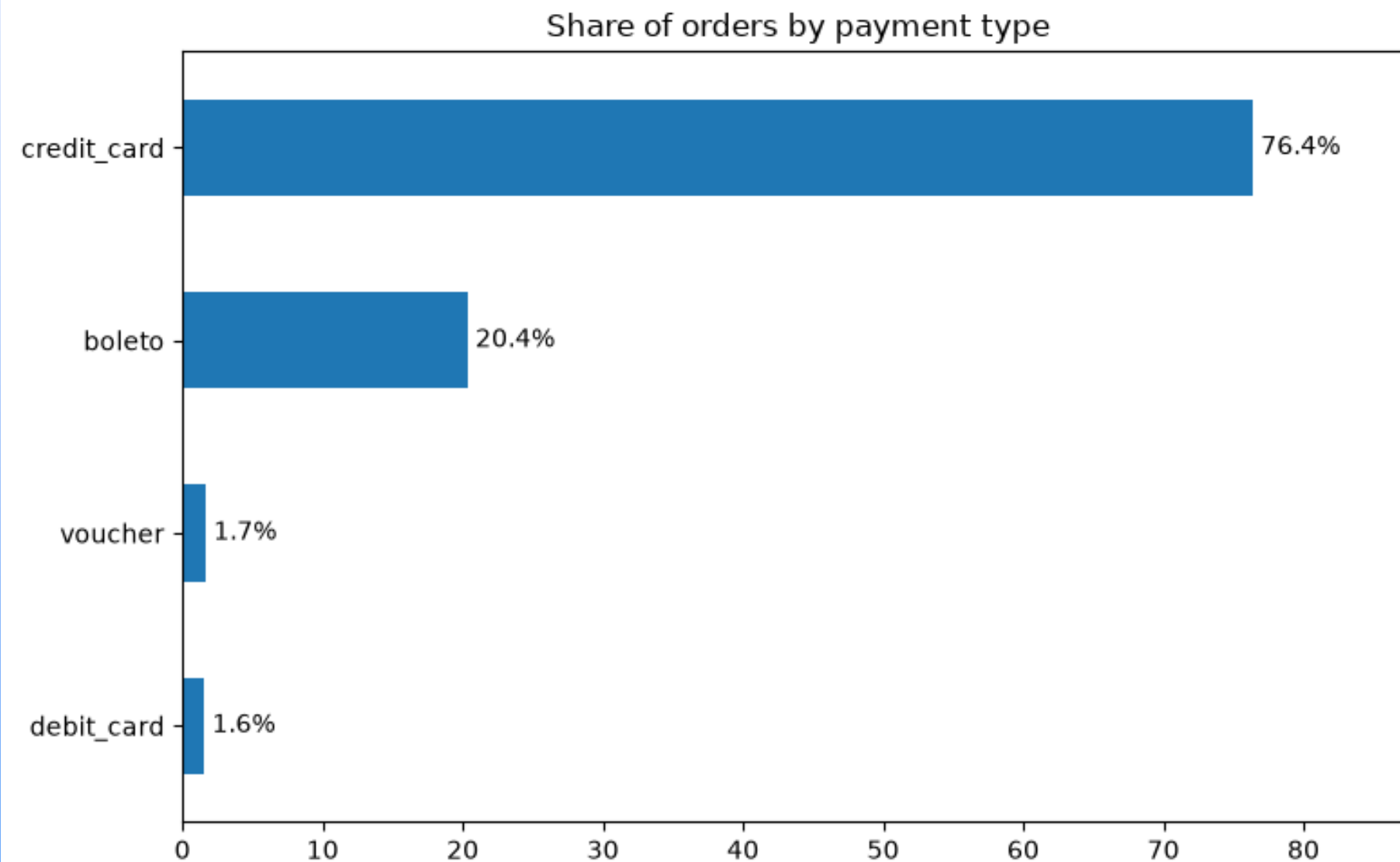


Are installment payments helping or hurting?

- Installments orders account for:
- **51.5% of orders**
- **63.5% of total sales**
- Their mean order value is substantially higher

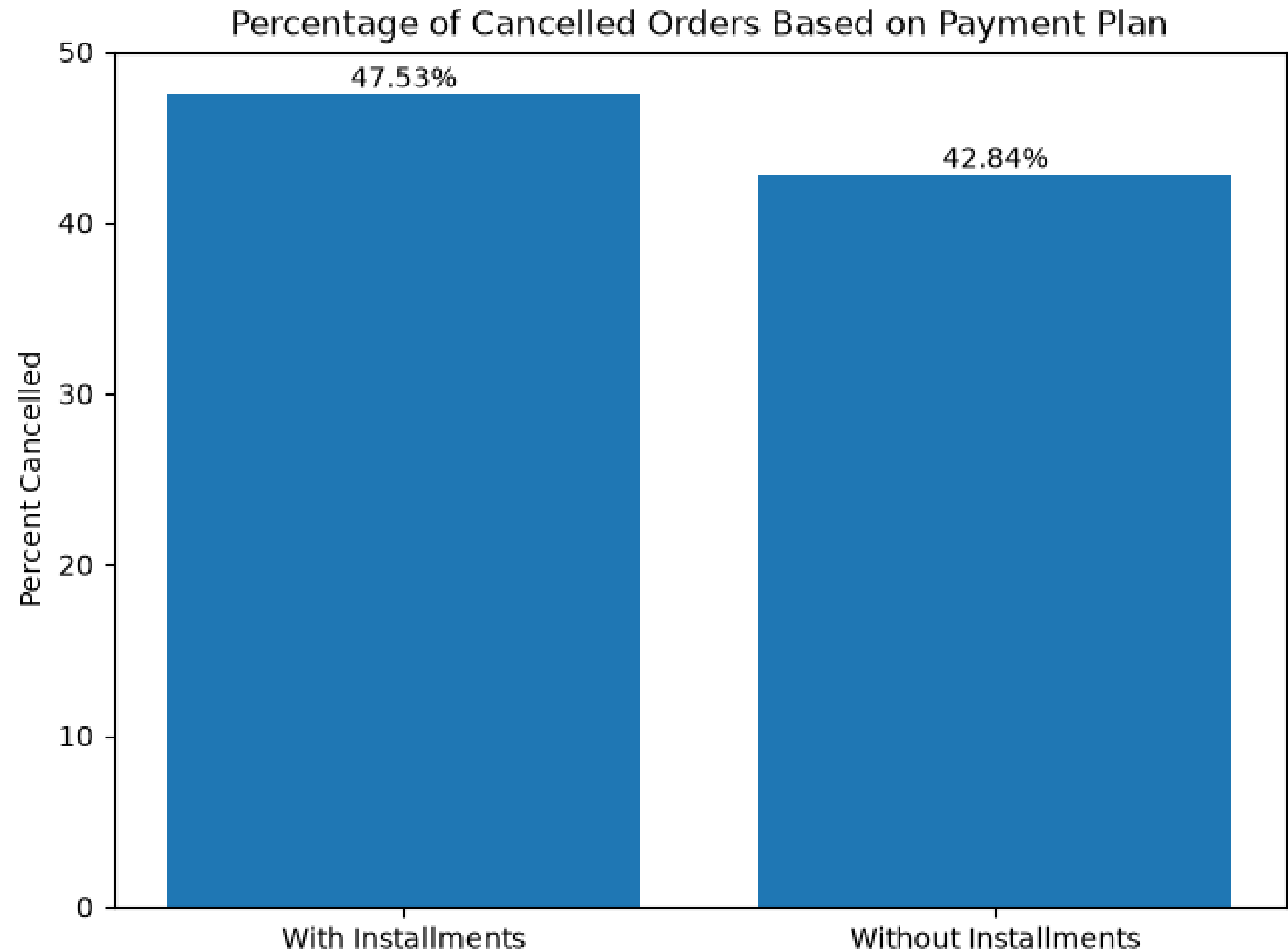


* How does payment type (Credit Card, Boleto, Voucher, Debit) correlate with order value?





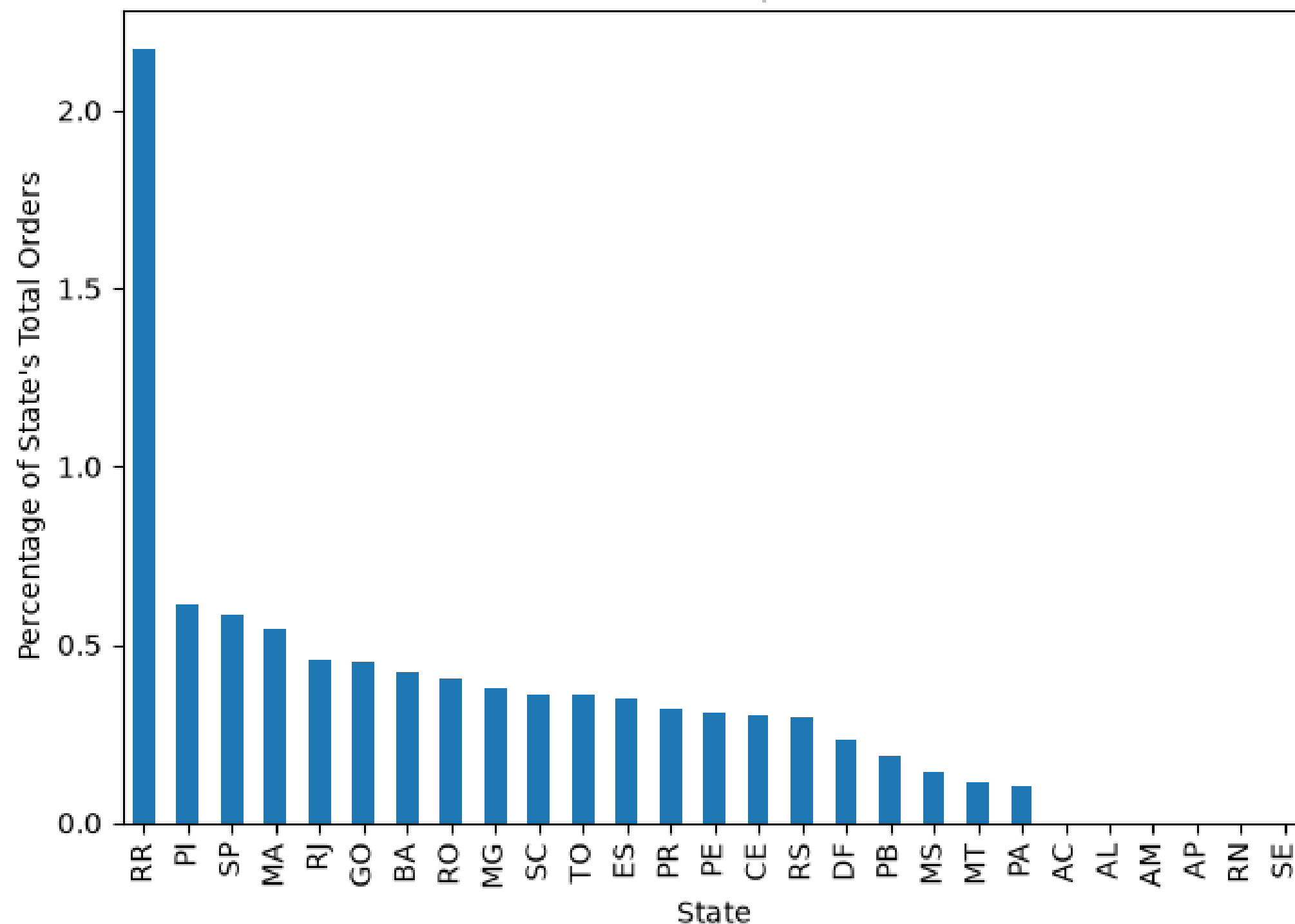
Order cancellation based on payment plan





Order cancellation based on state

Distribution of Cancelled Orders as a Proportion of Each State's Total Orders





Customers retention

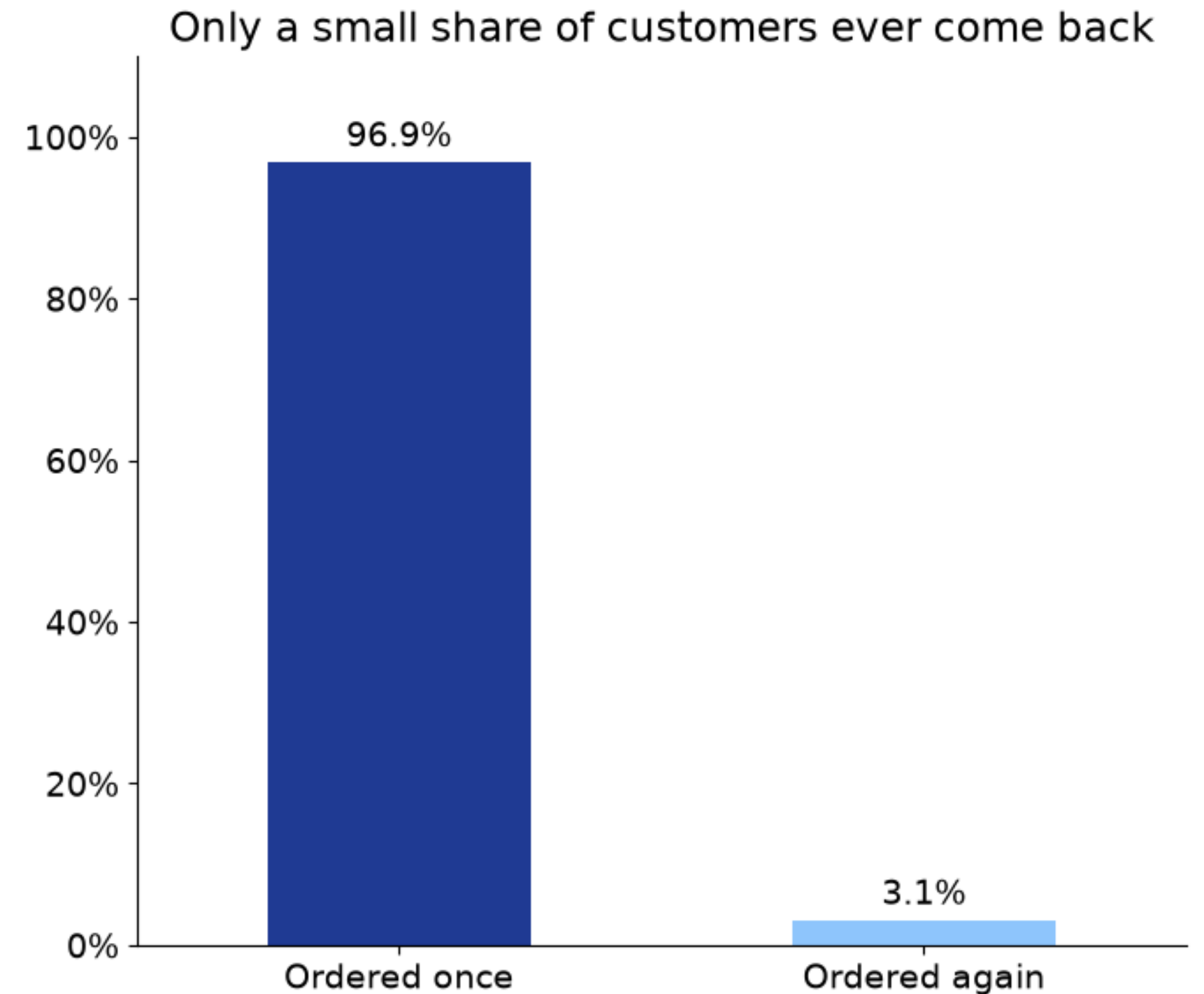
Installlements

	Counts	Mean total orders
False	46468	1.02
True	49627	1.04

Vouchers

	Counts	Mean total orders
False	92335	1.03
True	3760	1.08

- No effect on recurrence of customer order
- Neither showed a strong difference in customer recurrence





Recommendations



1. Continue offering installments to support higher-value purchases, while monitoring and investigating the higher cancellation rate (**RR**).
2. Reconsider vouchers for retention, as they were not associated with higher order value or repeat purchasing. Consider alternatives.
3. Keep credit card checkout as the priority.
4. Test vouchers before scaling, prioritizing Black Friday when voucher use was highest.



Thank you

